



FIRST SEMESTER 2026-27

COURSE HANDOUT

Date: 01.08.2026

In addition to part I (General Handout for all courses appended to the Time table), this portion gives further specific details regarding the course.

COURSE NO.	:	ECON F211
COURSE TITLE	:	PRINCIPLES OF ECONOMICS
INSTRUCTOR-IN-CHARGE	:	Prof. GEETILAXMI MOHAPATRA
INSTRUCTOR	:	Prof. Arun Kumar Giri
TUTORIAL INSTRUCTOR	:	Prof. Geetilaxmi Mohapatra

1. Course Description

This course is a foundation course for the students entering into the discipline of Economics & Finance. This introductory course teaches the basic concepts related to the economic system that are listed as follows: Introduction to Economics (Microeconomics) & Economic Problems; Demand, Supply, & Elasticity; Household Behavior and Consumer choice; The Production Process; Costs and Output Decisions; Demand for Production Inputs; Market Imperfections: Monopoly, Oligopoly, Monopolistic Competition; Introduction to Macroeconomics and the Problems; Measurement of National Income & Output; Money Supply and the Banking System

2. Scope and Objective of the Course

The main objective is to introduce the fundamental concepts and tools necessary to acquire an understanding of economic decision making of market participants such as Individual households, firms, and the government. The course covers two major areas of economics namely Microeconomics and Macroeconomics. The knowledge of the fundamentals would help the students to better understand the entire economic system and the process followed in policy making. This course would lay foundation for the students to understand other related courses in economics & finance such as Mathematical Economics, International Economics, Advance Micro and Macroeconomics, among others.

3. Text Book

Case, K.E., Fair, R.C., & Oster, S.E., “*Principles of Economics*”, Pearson Education Limited, 12th Edition, 2017

4. Reference Books

- **R1.** Samuelson, P. A. & Nordhaus, W. D., “*Economics*”, Tata McGraw-Hill, 19th Edition, 2007
- **R2.** Lipsey, R. G. & Chrystal, K. A., “*Economics*”, Oxford University Press, 11th Edition, 2007
- **R3.** Mankiw, N.G. “*Principles of Economics*”, South Western/Cengage Learning India, 6th Edition, 2012
- **R4:** Acemoglu, D, Laibson, D. & List, J., “*Economics*”, Pearson Education Limited, 1st Edition, 2016

5. Course Plan



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Module	Lecture/Tutorial	Reference Material	Learning outcome
1. Introduction to Economics & Economic Problems	L1.1: Course Orientation & Subject Introduction L1.2: Scarcity, choice and opportunity cost L1.3-4: Comparative advantage and production possibility frontier L1.5: Economic Systems	Chapters: 1 and 2 [TB]	Basic understanding of Economics as a subject and detailing of course contents, and their significance
2. Demand, Supply, & Elasticity	L2.1: Basic decision making units, the circular flow of the economy L2.2-3: Demand Concepts L2.4: Supply Concepts L2.5: Market equilibrium L2.6: Demand and Supply applications L2.7: Elasticity of Demand L2.8: Determinants of Elasticity of Demand	Chapters: 3, 4 and 5 [TB]	Understanding of average consumer behavior in various market situations
3. Household Behavior and Consumer choice	L3.1: Determinants of household demand L3.2: Budget constraint and its role L3.3-4: Concept of utility L3.5: Income allocation to maximize utility L3.6: Income and Substitution effects	Chapters: 6 [TB]	
4. The Production Process	L4.1: Behavior of profit maximizing firm in the short and long run L4.2: Production function	Chapters: 7 [TB]	Understanding of production process from producer's side
5. Costs and Output Decisions	L5.1: Types of costs L5.2: Perfect competition L5.3: Total & Marginal revenues L5.4: Short-run conditions and long-run directions L5.5: Derivation of long-run industry supply curve	Chapters: 8 and 9 [TB]	Basic understanding of cost of inputs and their supply
6. Demand for Production Inputs	L6.1: Input Markets: An Introduction L6.2: Labor Markets L6.3: Land Markets L6.4-5: Capital, Investment, and Depreciation	Chapters: 10 and 11 [TB]	



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7. Market Imperfections: Monopoly	L7.1: Market Imperfections: An Introduction and Price & Output decisions is pure Monopoly L7.2: Social Costs of Monopoly L7.3: Price Discrimination	Chapter: 13 [TB]	Understanding of various market structure and producer behavior in each market
8. Market Imperfections: Oligopoly	L8.1: Oligopolistic Market Structure and various models L8.2: Strategic Interaction: Game Theory - I L8.3: Strategic Interaction: Game Theory-II	Chapter: 14 [TB] and Class Notes on Game Theory	
9. Market Imperfections: Monopolistic Competition	L9.1: Product Differentiation & Role of Advertisement L9.2: Price & Output determination in Monopolistic Competition L9.3: Comparing Perfectly Competitive & Imperfect markets	Chapter: 15 [TB]	
10. Externalities, Public Goods, and Common Resources	L10.1: Market failure : Case of Externality L10.1: Market failure : Case of Public goods	Chapter: 16 [TB]	Understanding of various instances of market failure
11. Introduction to Macroeconomics and the Problems	L11.1: Introduction to Macroeconomics and various concerns	Chapter: 20 [TB]	Understanding the basics of National Income accounting, role of money, and related macroeconomics concepts
12. Measurement of National Income & Output	L12.1-2: GDP: Meaning, concepts, and measurement L12.3: Nominal vs. Real GDP	Chapter: 21 [TB]	
13. Money Supply and the Banking System	L13.1-2: Supply of Money & Its Measurement L13.3: The Indian Banking System L13.4: Money Creation & Money Multiplier L13.5: Monetary Policy of RBI	Chapter: 25 [TB]	
14: Public Finance	L14.1-2: Taxation and its impact	Chapter: 19 [TB]	Understanding the basics of Taxation

6. Evaluation Scheme: The evaluation platform will be notified well in advance

Component	Weightage (%)	Date and Time	Duration	Nature of component
Class Participation	5	Every class		
Mid-semester Test	30	10/10 AN1	90 Min	Closed Book
Announced Quizzes (Best 5 out of 6)	25	To Be Announced		
Comprehensive Examination	40	16/12 FN	3 Hrs	Partially Open Book



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7. Consultation Hour:

Students can approach to the Instructor In-Charge any time via email (geetilaxmi@pilani.bits-pilani.ac.in). Their queries will be answered through email/online meeting/phone call as per the level of the query.

8. Notices: Notice concerning this course will be through Mail/LMS Nalanda

9. Make-up Policy

Make-up exam for Mid Semester Test and Comprehensive Examination may be given only on genuine grounds (**only in case of hospitalization with proof**); prior permission of I/C is required to get a makeup test. No makeup exams for quizzes.

10. Note

The passing marks for this course will be determined based on **one of the two criteria**: 30% of the median of the post-comprehensive examination score or 20% of the 3 top scorer (whichever is lower)

Instructor-in-charge
ECON F211